According to Praveen Swami, Indian counter-intelligence had discovered that Al-Fatah's Abdul Rashid Dar had met Beg at Jammu on 7 and 8 January 1971, days after the Hazratbal robbery. Beg, by this account, asked Dar for an escalation of the anti-India activities. Zahgir received Dar's message on 15 January 1971 and this was the same day when members of the YML and the SF attempted to hijack the stage during the Friday congregational prayers in Srinagar, Sopore and Anantnag to deliver anti-India speeches. Like the Master Cell, Al-Fatah had been shut down well before it could achieve its ends. The Pakistani IB and the ISI had hoped that Al-Fatah would serve as the nucleus for war, after the failure of Master Cell and the war of 1965.

As the year 1971 drew to a close with India's decisive victory against Pakistan, Prime Minister Indira Gandhi capitalised on this, and, in the next few years, used it to negotiate a political settlement with Sheikh Abdullah. Abdullah eventually agreed to some limited political autonomy for Jammu and Kashmir, renouncing his demand for a plebiscite once and for all. As part of the political settlement, Chief Minister G. M. Sadiq's successor in office, Syed Mir Qasim, launched a programme to win over the erstwhile members of Al-Fatah. Pir Ghulam Hassan Shah, the officer who finally broke the Al-Fatah network, was now charged with winning its cadre over. In 1975, having been unconditionally pardoned as a result of the accord between Abdullah and Indira Gandhi, the bulk of Al-Fatah's cadre went mainstream, forming the *Inquilabi Mahaz*, or Revolutionary Union, which supported the Indira Gandhi-Sheikh Abdullah agreement. The absolute collapse of this agreement and the grave error of entering into it is what still haunts the Indian state.